Type MS · GDP per capita

Answer 1 of 2 · Question 4 part a · 2 marks

2019 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation Award 1 mark for the correct answer 202 600 million / 92.7 million **(1)** = $2 185.54 **(1)** Award 2 marks if the GDP per capita is accurately calculated with no workings shown Do not award marks for formula	**(2)**

Question Number	Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fall in unemployment may result in workers gaining an income from their employment. This may increase consumer spending within the Vietnamese economy • An increase in total demand may therefore result in more demand than the economy can supply • This might result in demand pull inflation as costs and prices rise • A fall in unemployment may also result in there being fewer workers available in the Vietnamese economy • This could result in higher costs of production for firms as they must increase wages to attract workers • Higher costs of production may cause cost push inflation for the Vietnamese economy	**(6)**

Type MS · GDP per capita

Answer 1 of 2 · Question 4 part a · 2 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · GDP per capita

Answer 1 of 2 · Question 4 part a · 2 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • There can be a reduction in inequality by taking lower average levels of tax from low wage earners and taking more from higher earners • Increasing progressive taxes will take more income from those on high-income levels • If the Vietnamese government taxed the 210 super-rich at a higher rate of taxation, the government would have more revenue • This could be spent on public services such as education which could help to reduce inequality and poverty • If low income work has a lower rate of tax, it encourages people to enter the labour force thereby reducing poverty **AO4** • Increasing the levels of progressive taxation can be difficult and unpopular • Higher rates of progressive taxation may create a disincentive effect on higher earners • Similarly, higher corporation tax may discourage investment in Vietnam which may have a negative impact on the economy • However, it also depends at what level income tax is set as to its effectiveness • There are alternatives to increasing progressive taxation which may be more effective such as redistribution through benefits payments or investment in education and healthcare • A combination of measures may be best in reducing levels of poverty and inequality in Vietnam	**(12)**

Type MS · GDP per capita

Answer 1 of 2 · Question 4 part a · 2 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · GDP per capita

Answer 1 of 2 · Question 4 part a · 2 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · GDP per capita

Answer 2 of 2 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** **C** $51 100	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **C** Monetary	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct impact • Leakage from the economy • Problems finding foreign reserves to fund the deficit • Can be inflationary • Unemployment • Falling output/GDP Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to household income and 1 mark for reference to basic needs. A condition where household income is below a necessary level **(1)** to provide the basic needs for survival **(1)**	**(2)**

Type MS · GDP per capita

Answer 2 of 2 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage of an appreciating currency Award 1 mark for developing the disadvantage Award 1 mark for the disadvantage being in context • A deterioration of the current account **(1).** A stronger value of the Thai baht leads to falling export sales **(1)** resulting in a larger trade deficit for Thailand's economy **(1)** • Reduced economic growth for the economy of Thailand **(1)** The price of exports should rise because of the stronger baht **(1)** This may result in a decrease in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · GDP per capita

Answer 2 of 2 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible negative effect Award 1 mark for developing the possible negative effect Award 1 mark for the effect being in context • Pollution from business activity **(1).** Many firms create air and noise pollution from making goods **(1)** which can negatively affect local communities near to factories in China **(1)** • More waste from production and consumption of goods and services **(1).** Waste must be disposed of in landfill sites **(1).** This can cause a health hazard to Chinese residents near to areas of waste disposal **(1)** Accept any other appropriate response	**(3)**

Type MS · GDP per capita

Answer 2 of 2 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The report indicates that parks decrease health costs, through encouraging exercise and reducing air pollution • This reduces government expenditure on health care and improves the lives and productivity of the population • Parks and open spaces not only provide benefits to people but also protect wildlife and ecosystems within an urban area • Parks can be used for recreational purposes and a place for children to play which can reduce negative externalities for a government • Depending on their size, parks can bring in tourism revenue to local restaurants, hotels, snack shops, and stores • Parks can host festivals, concerts and athletics events, bringing additional boosts to the local economy **AO4** • However, there is an opportunity cost to the government in providing parks and open spaces • This area of land could be used for other purposes such as housing or for commercial development which may create jobs and increase output • There is a cost in creating and maintaining the park which must be funded by the government, as the park is free to use • The overall benefits will depend on how many people use the park and if there are alternative ways to protect the environment/reduce pollution such as pollution permits, regulation or fines	**(9)**

Type MS · GDP per capita

Answer 2 of 2 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · GDP per capita

Answer 2 of 2 · Question 2 part a · 1 mark

2019 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark